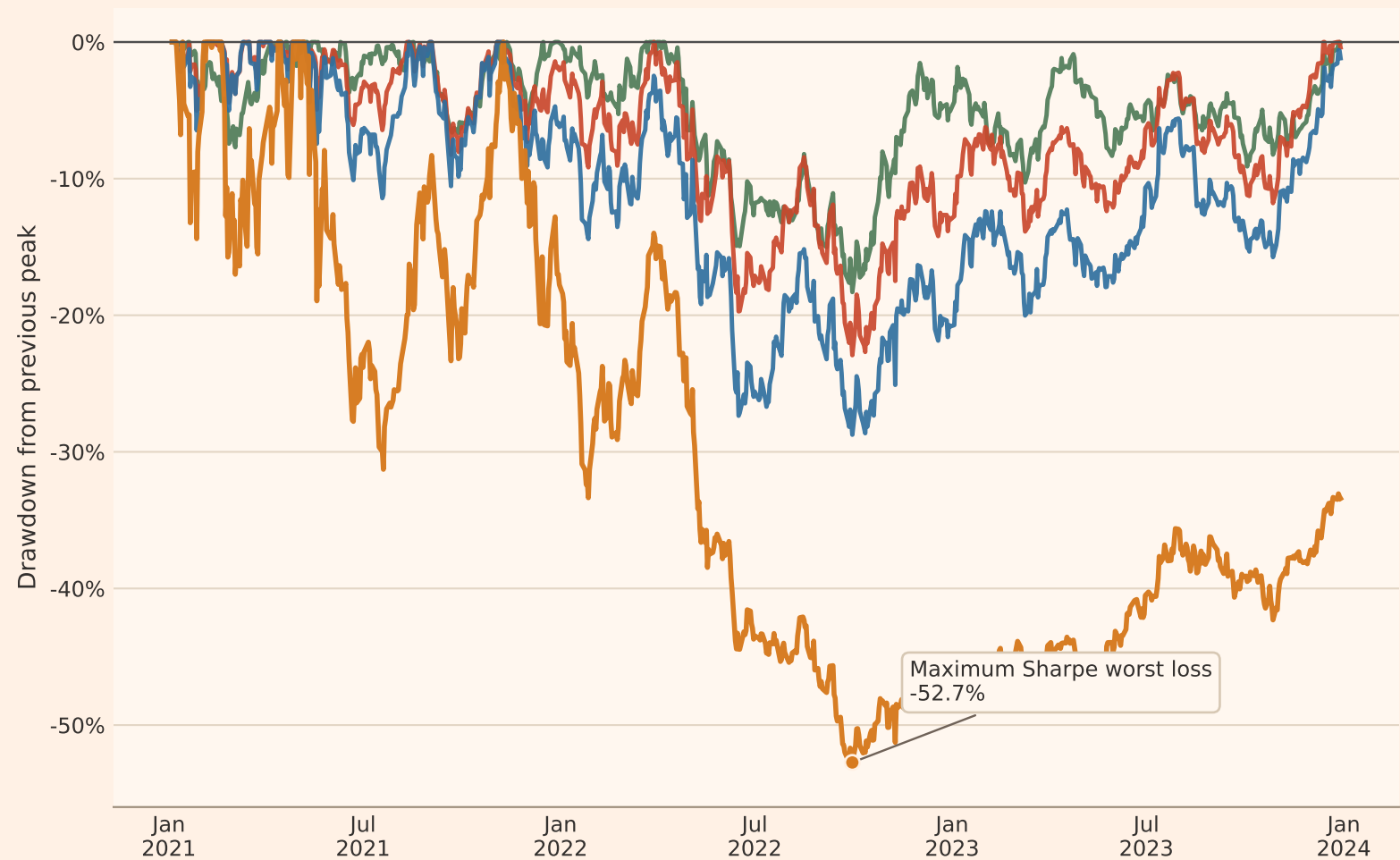


Combined funds: drawdown risk is concentrated in Maximum Sharpe

Out-of-sample drawdown from previous peak, Jan 2021-Dec 2023. Lower values mean larger investor losses.



Risk snapshot

Combined universe only

Method	Max DD	End DD	\$1
Min variance	-18.3%	-0.0%	1.23
Risk parity	-22.9%	-0.4%	1.43
Equal weight	-28.7%	-1.2%	1.52
Max Sharpe	-52.7%	-33.4%	1.27

Read-through

Minimum variance gives the smallest peak-to-trough loss. Maximum Sharpe is most fragile because expected-return estimates create concentrated positions.

Source: NovaAlloc results/data/fund_returns.csv. Monthly walk-forward out-of-sample backtest; combined equity-plus-crypto funds only.
Note: Drawdown is measured relative to each fund's own previous high-water mark. Returns are before transaction costs.